

		Plaintiff's interest in its chosen counsel, Attorney Charleston, who actively participated in the underlying transaction and was extensively involved in this litigation since filing the action. In summary, while the court ultimately was unpersuaded and did not find the weight of SFA's evidence enough to warrant disqualification, there was at least minimal evidence to support each of the factors for disqualification. Finally, the court cannot, on the record before it, find that there is sufficient evidence that the motion was filed for an improper purpose/motive. While the court did find that "Defendant's lengthy delay in moving for disqualification supports a reasonable finding that this motion was made for tactical purposes" (Minute Order, dated 07/15/26), the court cannot find that the delayed filing shows the motion was filed for the purpose of harassment, causing unnecessary delay or needlessly increasing the cost of litigation. While SFA's motion to disqualify did have those indirect consequences, there is insufficient evidence that the purpose of the motion was to directly cause said consequences. SFA's counsel offers a declaration that the intent was to file the motion in good faith and the court accepts that testimony. For these reasons, the motion is DENIED. Plaintiff to give notice.
7	GSHC Surrogacy Agency LLC vs. Li	TENTATIVE RULING: For the reasons set forth below, the motion by Plaintiff/Cross-Defendant GSHC Surrogacy Agency, LLC ("GSHC") for attorneys' fees is DENIED. <u>Fees Under CUTSA</u> GSHC moves for attorneys' fees in the amount of \$24,780.00 under Civil Code § 3426.4 as the prevailing party on a misappropriation of trades secret claim, which was allegedly made in bad faith. Attorney's fees are recoverable as costs, when authorized by contract, statute, or law. (Code Civ. Proc., § 1033.5(10)(A)-(C).) Defendants Sung Yoon Kim and Omniq, Inc. argue that Defendants are entitled to recover statutory fees pursuant to the California Uniform Trade Secrets Act ("CUTSA"). CUTSA provides that if "a claim of misappropriation is made in bad faith . . . the court may award reasonable attorney's fees and costs [including expert fees] to the

prevailing party.” (Civ. Code, § 3426.4.) CUTSA “authorizes the trial court to award attorney fees as a deterrent to specious trade secret claims.” (*FLIR Sys., Inc. v. Parrish* (2009) 174 Cal.App.4th 1270, 1275; see *Gemini Aluminum Corp. v. Cal. Custom Shapes, Inc.* (2002) 95 Cal.App.4th 1249, 1261.) “Because the award is a sanction, a trial court has broad discretion in awarding fees.” (*FLIR Sys., supra*, 174 Cal.App.4th at p. 1275.)

Application of Civil Code section 3426.4 “naturally raises three questions: Is the defendant the prevailing party? Was the claim made in bad faith? And what is a reasonable fee?” (*Cypress Semiconductor Corp. v. Maxim Integrated Prods., Inc.* (2015) 236 Cal.App.4th 243, 253.) A defendant voluntarily dismissed from the action can be considered the prevailing party entitled to recover fees under CUTSA. (See, e.g., *SASCO v. Rosendin Electric, Inc.* (4th Dist.-Div. 3, 2012) 207 Cal.App.4th 837, as modified on denial of reh'g (Aug. 7, 2012).)

“Although the Legislature has not defined ‘bad faith,’ courts have developed a two-prong standard: (1) objective speciousness of the claim, and (2) [plaintiff’s] subjective bad faith in bringing or maintaining the action, i.e., for an improper purpose.” (*FLIR Sys., Inc. v. Parrish* (2009) 174 Cal.App.4th 1270, 1275; see also *Gemini Aluminum Corp., supra*, 95 Cal.App.4th at p. 1262.) “‘Objective speciousness exists where the action superficially appears to have merit but there is a complete lack of evidence to support the claim.’” (*SASCO v. Rosendin Electric, Inc.* (2012) 207 Cal.App.4th 837, 845 [citing *FLIR Systems, supra*, 174 Cal.App.4th at p. 1276].) The court can find a claim objectively specious, even where the case is dismissed prior to trial and prior to the completion of discovery. (*SASCO, supra*, 174 Cal.App.4th at p. 845.)

“Objective speciousness exists where the action superficially appears to have merit but there is a complete lack of evidence to support the claim.” (*SASCO, supra*, 207 Cal.App.4th at p. 845 [citing *FLIR Systems, supra*, 174 Cal.App.4th at p. 1276].) The court can properly find a plaintiff’s claim to be objectively specious, even where a case was dismissed prior to the completion of discovery and where the defendant is alleged to have withheld discovery. (*Id.*, at p. 845.) Whether, objectively speaking, it *appeared* to the plaintiff at the time of filing that some evidence would be obtained in discovery to support a misappropriation claim is irrelevant to the court’s analysis. (*Id.* at pp. 847-848.)

Subjective bad faith means the action was commenced or continued for an improper purpose, such as harassment, unnecessary delay, or to thwart competition. (*FLIR Systems*, 174 Cal.App.4th at p. 1278; see